

them for his signature. Attractive photographs and nicely colored charts do not necessarily reflect a close-knit and able management team working in harmony and with enthusiasm.

Allowing the general wording and tone of an annual report to influence a decision to purchase a common stock is much like buying a product because of an appealing advertisement on a billboard. The product may be just as attractive as the advertisement. It also may not be. For a low-priced product it may be quite sensible to buy in this way, to find out how attractive the purchase really is. With a common stock, however, few of us are rich enough to afford impulse buying. It is well to remember that annual reports nowadays are generally designed to build up stockholder good will. It is important to go beyond them to the underlying facts. Like any other sales tool they are prone to put a corporation's "best foot forward." They seldom present balanced and complete discussions of the real problems and difficulties of the business. Often they are too optimistic.

If, then, an investor should not let a favorable reaction to the tone of an annual report overly influence his subsequent action, how about the opposite? Should he let an unfavorable reaction influence him? Usually not, for again it is like trying to appraise the contents of a box by the wrapping paper on the outside. There is one important exception to this, however. This is when such reports fail to give proper information on matters of real significance to the investor. Companies which follow such policies are usually not the ones most likely to provide the background for successful investment.

4. Don't assume that the high price at which a stock may be selling in relation to earnings is necessarily an indication that further growth in those earnings has largely been already discounted in the price.

There is a costly error in investment reasoning that is common enough to make it worthy of special mention. To explain it, let us take a fictitious company. We might call it the XYZ Corporation. XYZ has qualified magnificently for years in regard to our fifteen points. For three decades there has been constant growth in both sales and profits, and also there have been enough new products under development to furnish strong indication of comparable growth in the period ahead. The excellence of the company